

To get a better sense of how and when GEM achieves its outperformance, [Table 8.6](#) shows the number of years that GEM outperformed and underperformed the S&P 500 during up and down years for the S&P 500. [Table 8.7](#) shows average annual returns in those up and down market environments.

Table 8.6 Years of Outperformance, 1974–2013

	S&P 500 Up Years	S&P 500 Down Years
GEM > S&P 500	14	8
S&P 500 > GEM	13	0
GEM = S&P 500	5	0

Table 8.7 Average Annual Returns, 1974–2013

	S&P 500 Up Years	S&P 500 Down Years
GEM	21.9	2.2
S&P 500	18.5	–15.2

GEM’s low-risk profile makes it less likely that investors will make emotionally based exit decisions at inopportune times when other equity investors are rushing toward the sidelines. GEM investors still need to exercise patience during bull markets when GEM may just as often underperform as outperform market benchmarks. Investors need to remember that much of the outperformance of GEM occurs in bear market environments.

COMPARATIVE DRAWDOWNS

[Table 8.8](#) shows the amounts, lengths, and recovery times of the five largest GEM and ACWI drawdowns.

Table 8.8 Five Largest GEM and ACWI Drawdowns, 1974–2013